

Procure Space ETF

SPCX NASDAQ

Hold	\$161.88 ▲ 0.82%	12M Price Target \$180.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.13T
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SPCX: Space ETF Cools After Rally, Policy Catalysts Loom

WHAT HAPPENED

- SPCX bounced a bit (+0.82%) after getting hit the past two sessions — down from \$171 last Monday to \$160 Wednesday, so about a 6% pullback. This looks like profit-taking after a strong run, not something fundamental, since there's zero news and no SEC filings driving it.
- Options flow is sending mixed signals — the put/call ratio of 0.57 says traders are leaning bullish overall, but there's heavy action on the \$162.50 strike expiring this month on BOTH sides. Translation: big money is positioning for a sharp move either way, they just don't agree on direction.

WHY IT MATTERS

The pullback from \$171 to \$161 on no news tells me this was a crowded trade that needed to cool off — space names ran hard on the back of the FY2026 defense authorization momentum and NASA budget headlines, and now we're consolidating. What really matters here: SPCX is an ETF holding names like Rocket Lab, Iridium, Planet Labs, and Garmin, so it moves with the whole sector's narrative, not one company's earnings. The fact that it's sitting at only 47% of its 52-week range despite the sector being hot suggests the market is waiting for the next catalyst — likely either the Space Force budget finalization or a major commercial launch contract. If you believe space is a decade-long government priority (and both parties seem aligned on this), pullbacks like this are opportunities, not warnings.

POLICY & POLITICAL WATCH

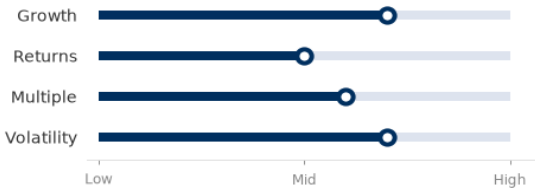
The big one to watch: the FY2027 National Defense Authorization Act is being marked up in committee, and Space Force funding is expected to grow 15-20% — that's a direct tailwind for satellite and launch companies in SPCX's basket. Also keep an eye on the Commercial Space Act renewal discussions, which would extend regulatory relief for private launches and in-space manufacturing. The headwind nobody's pricing in: potential ITAR (export control) tightening on satellite tech to allied nations, which could crimp international revenue for holdings like Iridium and Viasat.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$161.88
12M Price Target	\$180.00
Upside / (Downside)	+11.2%
Market Cap	\$2.13T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$175.00	\$165.00	\$150.00
6 Months	\$200.00	\$180.00	\$140.00
1 Year	\$230.00	\$190.00	\$130.00
2 Years	\$280.00	\$220.00	\$120.00
5 Years	\$400.00	\$300.00	\$100.00
10 Years	\$650.00	\$450.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.62%) and Healthcare (+1.57%) led today — classic defensive rotation, which suggests the market is getting a little nervous and seeking safety. Utilities up 3.93% over 5 days reinforces that.

COOLING OFF: No tech or communications in the top movers today — the AI/growth trade took a breather, which is why high-beta space names like SPCX also cooled.

ROTATION WATCH: Money is quietly moving from high-flying growth into defensives and yield plays, which is a short-term headwind for SPCX. If rates start coming down more aggressively, that reverses fast and space/growth names reaccelerate.

RELATED PLAY: If space keeps running, look at the picks-and-shovels — ground station operators, specialty semiconductor names making rad-hardened chips (think MCHP, TXN exposure), and even defense primes like LMT and NOC that build the big-ticket satellite systems.

WHO'S WINNING IN THIS SPACE?

- ITA (iShares Aerospace & Defense ETF): Benefiting from the same NDAA tailwind but with more established cash-flowing names, so it's held up better on the pullback.
- ARKX (ARK Space Exploration ETF): Competing space ETF — if it's outperforming SPCX, it signals the market prefers ARK's more concentrated bets; if underperforming, SPCX's purer space exposure is winning.

SPCX CONTEXT: SPCX pulled back harder than broad aerospace this week, which tells me it's being treated as the "higher-beta" space proxy — great on the way up, painful on the way down. That's normal for a focused thematic ETF and not a reason to panic unless the whole sector narrative breaks.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis a lot, but the recent run-up and lack of immediate catalyst makes me patient rather than aggressive here.

POSITION SIZE: 2-4% of portfolio — this is a thematic ETF, so size it like a sector tilt, not a core holding. Enough to matter if it runs, not enough to hurt badly if space winter returns.

ENTRY POINTS: I'd nibble at \$155 and back up the truck closer to \$140 if we get a broader market pullback. Avoid chasing above \$175 without a fresh catalyst.

TIME HORIZON: 12-24 months, with the NDAA passage and FY2027 budget appropriations as the key milestones to watch.

WHEN TO BAIL: If Congress passes a defense budget that cuts Space Force funding, or if two of the top-5 holdings miss earnings in the same quarter, I'd trim significantly.

HEDGING: Simplest hedge is just keeping some cash to buy pullbacks — space is volatile and you'll get your shot. If you want fancier, pair SPCX with a broader defense ETF like ITA to smooth the ride without giving up the thematic exposure.